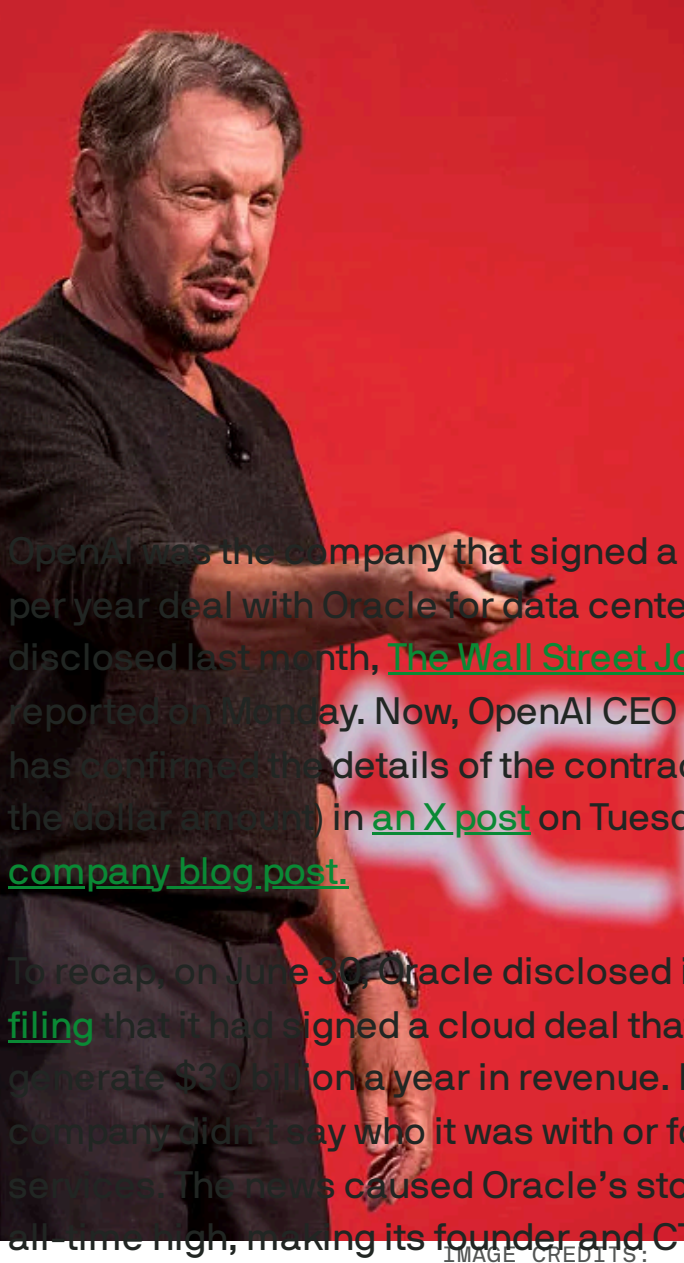


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AI



OpenAI agreed to pay
Oracle \$30B a year for
data center services



Julie Bort — 1:36 PM PDT · July 22, 2025

OpenAI was the company that signed a \$30 billion per year deal with Oracle for data center services, disclosed last month, [The Wall Street Journal](#) reported on Monday. Now, OpenAI CEO Sam Altman has confirmed the details of the contract (but not the dollar amount) in [an X post](#) on Tuesday and in [a company blog post](#).

To recap, on June 30, Oracle disclosed in [an SEC filing](#) that it had signed a cloud deal that would generate \$30 billion a year in revenue. However, the company didn't say who it was with or for what services. The news caused Oracle's stock to hit an all-time high, making its founder and CTO, Larry Ellison, the second richest person in the world, [according to Bloomberg](#).

Speculation [on the identity](#) of the customer ensued as people wondered what company could possibly need a fresh \$30 billion a year in data center services. For comparison, Oracle collectively sold \$24.5 billion worth of cloud services in its fiscal 2025 to all customers combined, [it reported](#) in June.

OpenAI has now explained that this Oracle deal is for 4.5 gigawatts of capacity as part of Stargate, the \$500 billion data-center-building project OpenAI, Oracle, [and SoftBank announced in January](#). (Apparently, the \$30 billion deal does not involve SoftBank.)

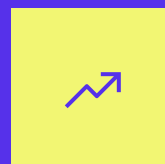
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The WSJ reports 4.5 gigawatts is the equivalent of two Hoover Dams, enough power for about four million homes.

This isn't a straightforward win for Oracle. OpenAI and Oracle still have to build this monster data center, which will be a costly endeavor, both in cash and in energy. They are doing so at what OpenAI called the Stargate I site in Abilene, Texas.

Meanwhile, Oracle spent \$21.2 billion on capital expenditures in its last fiscal year, CEO Safra Catz [reported in June](#), and it expects to spend another \$25 billion this year, she said. So, nearly \$50 billion, largely spent on data centers (and that doesn't include land purchases, she said) in two years. Although, to be clear, that money also supports Oracle's existing customers, in addition to OpenAI's demands.

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One final interesting part to note about all of this: Last month, Altman said that OpenAI [recently hit \\$10 billion](#) in annual recurring revenue, up from

around \$5.5 billion last year. This single commitment to Oracle is already triple per year what it is currently bringing in and doesn't include all of the company's other expenses, including its current data center commitments.

Topics: [AI](#) [data centers](#) [Enterprise](#) [OpenAI](#) [oracle](#)

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OpenAI teams up with
SoftBank and Oracle on
\$500B data center
project

OpenAI says that it will team up with Japanese conglomerate SoftBank and with Oracle, among others, to build multiple data centers for AI in the U.S.

The joint venture, called the Stargate Project, will begin with a large data center project in Texas and eventually expand to other states. The companies expect to commit \$100 billion to Stargate initially and pour up to \$500 billion into the venture over the next four years.

They promise it will create “hundreds of thousands” of jobs and “secure American leadership in AI.”

“The Stargate Project is a new company which intends to [build] new AI infrastructure for OpenAI in the United States,” OpenAI, Oracle, and SoftBank said in a joint [statement](#). “This project will not only support the re-industrialization of the United States but also provide a strategic capability to protect the national security of America and its allies.”

The companies made the announcement during a press conference at the White House on Tuesday, where President Donald Trump spoke about plans for investment in U.S. infrastructure. SoftBank chief Masayoshi Son, OpenAI CEO Sam Altman, and Oracle co-founder Larry Ellison were in attendance.

Microsoft is also involved in Stargate as a tech partner. So are Arm and Nvidia. Middle East AI fund MGX will join SoftBank in its investment; MGX’s [first public deal](#) was an investment in OpenAI.

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SoftBank, OpenAI, and Oracle are also listed as “initial equity investors” in Stargate.



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“SoftBank and OpenAI are the lead partners for Stargate, with SoftBank having financial responsibility and OpenAI having operational responsibility,” the statement continued. “Masayoshi Son will be the chairman [of Stargate] ... As part of Stargate, Oracle, Nvidia, and OpenAI will closely collaborate to build and operate this computing system.”

The data centers could house chips designed by OpenAI someday. The company is [said to be aggressively building out a team](#) of chip designers and engineers, and working with semiconductor firms Broadcom and TSMC to create an AI chip for running models that could arrive as soon as 2026.

SoftBank is already an investor in OpenAI, having [reportedly](#) committed \$500 million toward the AI startup’s [last funding round](#) and an [additional](#) \$1.5 billion to allow OpenAI staff to sell shares in a

tender offer. Oracle, meanwhile, has an ongoing [deal](#) with OpenAI to supply AI computing resources.

SoftBank also [earlier pledged](#) to invest \$100 billion in the U.S. over the next four years. Son and Trump have had a close working relationship since 2016, during Trump's first term, when Son announced that SoftBank would invest \$50 billion in U.S. startups and create 50,000 jobs.

The Information previously [reported](#) that OpenAI was negotiating with Oracle to lease an entire data center in Abilene, Texas — a data center that could reach nearly a gigawatt of electricity by mid-2026. (A gigawatt is enough to power roughly 750,000 small homes.) Data center startup [Crusoe Energy](#) was said to be [involved](#) in the project, which was estimated to cost around \$3.4 billion.

That Abilene site will be Stargate's first site, and OpenAI says that Stargate is "evaluating potential sites across the country for more campuses as [it finalizes] definitive agreements." By 2029, Stargate could scale up to 20 data center installations.

"Each building is a half a million square feet," Ellison said during the briefing. "There are 10 buildings currently being built."

It's unclear what connection, if any, Stargate has to a rumored partnership between Microsoft and OpenAI to spin up a \$100 billion supercomputer. TechCrunch has reached out to OpenAI for additional information.

Last year, The Information [reported](#) that Microsoft and OpenAI would build a series of data centers for AI beginning in five stages over the next several years, culminating in Stargate: a 5-gigawatt facility spanning several hundred acres of land. Stargate was expected to take between five and six years to complete, according to The Information. In the

lead-up to its completion, Microsoft had reportedly planned to launch a smaller-scope data center for OpenAI around 2026.

A number of tech leaders have called for the U.S. to up its investment in data centers, particularly as the AI industry continues to grow at an explosive pace. AI systems require enormous server banks to develop and run at scale.

Goldman Sachs [estimates](#) that AI will represent about 19% of data center power demand by 2028. OpenAI has [blamed](#) a lack of available compute for delaying its products, and compute capacity has reportedly become a source of [tension](#) between the AI company and Microsoft, its close collaborator and major investor.

Microsoft, which recently announced it is on track to spend \$80 billion on AI data centers, said in a recent [blog post](#) that the company's success depends on "new partnerships founded on large-scale infrastructure investments." In an [interview](#) with Bloomberg, Altman said that he believes it is urgent that what he perceives as barriers to building additional data center infrastructure in the U.S. be cleared.

"The thing I really deeply agree with [President Trump] on is, it is wild how difficult it has become to build things in the United States," Altman said in that interview. "Power plants, data centers, any of that kind of stuff. I understand how bureaucratic cruft builds up, but it's not helpful to the country in general."

Massive data center projects have vocal critics who say that data centers often create [fewer jobs](#) than [promised](#) and tend to have severe environmental impacts. Data centers are typically water hungry, placing a strain on regions with insufficient water resources, and their high

power requirements have forced some utilities to lean heavily on fossil fuels.

Those concerns don't appear to be slowing investments any. Per a McKinsey [report](#), capital spending on procurement and installation of mechanical and electrical systems for data centers could eclipse \$250 billion in the next five years.

In January, Trump announced that Hussain Sajwani, an Emirati billionaire businessman who founded the property development giant DAMAC Properties, [will invest](#) \$20 billion in new data centers across the U.S. Industry insiders have expressed

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Kyle Wiggers

AI Editor |

Kyle Wiggers was TechCrunch's AI Editor until June 2025. His writing has appeared in VentureBeat and Digital...

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Microsoft's relationship with OpenAI cracked when it hired Mustafa Suleyman, rival Marc Benioff says

Julie Bort — 1:37 PM PST · January 22, 2025

IMAGE CREDITS: [YOUTUBE/ASPEN IDEAS FESTIVAL](#)

Salesforce CEO Marc Benioff was literally chuckling when talking [to CNBC from Davos](#) about the new rift in Microsoft's relationship with OpenAI. As part of OpenAI's plans to team up with SoftBank and Oracle on a \$500 billion data center project called Stargate, Microsoft [is no longer the exclusive cloud provider for OpenAI.](#)

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“I think it’s extremely important that OpenAI gets to other platforms quickly because Microsoft is building their own AI and I don’t think Microsoft will use OpenAI in the future. They’ll have their own frontier models,” Benioff predicted, laughing. “That’s why they hired Mustafa Suleyman. And Mustafa Suleyman and Sam Altman are not best friends.”

Benioff said their dislike was visible at the year-ago Davos show, “where Sam and Mustafa were on panels together and not getting along.”

The end of Microsoft exclusively hosting OpenAI was destined to happen. Microsoft invested \$1 billion in OpenAI [in 2019](#) — years before OpenAI released ChatGPT at the end of 2022. Now, OpenAI appears bound for its own tech giant status, perhaps one day to rival Microsoft. OpenAI has also [blamed](#) a lack of available compute for product delays, indicating it needs more data center capacity than Microsoft can (or perhaps wants to) provide. And OpenAI’s exclusive agreement with Microsoft was to end whenever OpenAI achieved what [they both agreed was AGI](#).

Some reports indicate tension between the two companies has been building since at least mid-2023, after OpenAI released its own, [competing enterprise product](#). After Altman was fired and [reinstated as OpenAI CEO](#) in late 2023, employees from both companies told [Business Insider](#) they really don’t like working together. OpenAI’s folks tended to look down on those at Microsoft, some employees said.

Just a few months later, in early 2024, Nadella thumbed his nose back by hiring DeepMind and Inflection co-founder Mustafa Suleyman to lead Microsoft AI. (Microsoft has not yet responded to our request for comment.)

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While Benioff may hope that Microsoft will fully abandon OpenAI in the future, that could be wishful thinking, although Microsoft is [reportedly](#) working on its own LLM called MAI-1. Still, when Microsoft [announced](#) earlier this month a new AI group led by Jay Parikh that will build AI agents and apps, the post didn't even mention OpenAI.



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This latest fissure in the partnership is good news for Benioff. Salesforce also [uses OpenAI's enterprise models](#), and is [an investor](#) in OpenAI rival Anthropic.

Even so, Benioff's observations about Suleyman aren't completely off. Suleyman has been known to dismiss Altman's vision especially around AGI, and admitted last month in an interview with [The Verge](#) that the OpenAI partnership has "little tensions here and there."

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Julie Bort
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ENTERPRISE

Oracle brings its database infrastructure to Microsoft Azure

Kyle Wiggers — 1:56 PM PDT · September 14, 2023

Days after Oracle missed Q1 2023 revenue expectations and gave a downbeat rest-of-year outlook, sending its share price to suffer the worst one-day performance in 21 years, the cloud provider announced a team-up with Microsoft to co-locate a portion of its infrastructure in the Azure cloud.

The unusual new [offering](#), called Oracle Database@Azure (with an at symbol for emphasis, presumably), gives customers access to Oracle database services running on Oracle hardware and deployed in Azure data centers.

Oracle says that Oracle Database@Azure is designed to marry Oracle's database product with the "security, flexibility and best-in-class services" of Azure, including Azure services co-developed with Microsoft's close AI collaborator, OpenAI.

"We're very excited to partner with Microsoft to actually take Oracle hardware and Oracle software — and all the Oracle database hardware that we use in the Oracle Cloud, and all the database software using the Oracle Cloud — and literally, physically move it into Azure data centers," Oracle CEO Larry Ellison said during a press briefing with Microsoft CEO Satya Nadella this afternoon. "This will be like co-locating the hardware and the software right in the Azure data center."

The details of the new offering remain vague. But in a press release, Oracle said that Oracle Database@Azure will provide "more options" for Oracle customers to move their databases to the cloud, including a "fully integrated" new experience for deploying, managing and using Oracle database instances within Azure.

At launch, Oracle Database@Azure will support a range of Oracle's existing database services, including Oracle Exadata Database services,

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“A lot of enterprise applications that have Oracle Database probably have some front-end middleware [hosted elsewhere], even at Microsoft,” Nadella said. “We listened to customers, and customers said, ‘We want this option in addition to everything that you’re doing.’ I think this will fundamentally accelerate the migration to the cloud.”

That's a rosy prediction, considering the extent to which Oracle's database market share has eroded over the past few years despite the company's notorious lock-in tactics. The number of database software options has exploded, and a plethora of companies have successfully built subscription businesses around managing popular open source database solutions like PostgreSQL, MongoDB and MySQL for their customers.

According to Gartner, Oracle's share of the database market declined from 36.1% in 2017 to just 20.6% in 2021 as Oracle [spent](#) billions upon billions on infrastructure.

Certainly, Oracle's feeling the pressure. In April, the company made its database software free for developers to test run, a move aimed at fostering goodwill with the database engineering community. Perhaps Oracle Database@Azure will shore up its customer base, as well — or at least cause longtime clients to think twice before jumping ship.

With the loss of big customers like AWS and Salesforce in recent years, though, it won't be so easy for Oracle to reverse its fortunes — Azure partnership or no.

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Kyle Wiggers

AI Editor |

Kyle Wiggers was TechCrunch's AI Editor until June 2025. His writing has appeared in VentureBeat and Digital...

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